Fair Lending and Non-Discrimination Standard

ASHVA CAPITAL INTERNAL CREDIT POLICY MANUAL ## SECTION 4.0: FAIR LENDING AND NON-DISCRIMINATION STANDARDS Document ID: ACP-POL-FL-400 Effective Date: January 14, 2026 Applicability: All Underwriting Personnel, Automated Decision Systems, and Credit Risk Officers

4.1 Purpose and Scope This standard establishes the mandatory legal and ethical boundaries for all credit evaluation processes within Ashva Capital. Compliance with this section is absolute. Underwriters and automated underwriting systems (AUS) must evaluate applicants solely on financial capacity, repayment history, and risk-adjusted pricing metrics defined in Section 2 of this manual.

4.2 Prohibited Protected Attributes No credit decision, risk tier assignment, credit limit determination, or pricing calculation shall be influenced, directly or indirectly, by any of the following protected attributes of the applicant, co-applicant, or guarantor: 1. Religion or Creed: Any formal or informal religious affiliation, denomination, or absence thereof. 2. Caste, Tribe, or Community: Ancestral social stratification, lineage, or community classifications. 3. Gender, Sex, or Sexual Orientation: Biological sex, gender identity, gender expression, or sexual orientation. 4. Marital Status: Single, married, divorced, separated, widowed, or domestic partnership status. 5. Age: Chronological age, provided the applicant has reached the legal age of majority (minimum 18 years of age) to enter into a binding contract. 6. Disability Status: Physical, sensory, intellectual, or mental impairment, or history of the same. 7. Region of Origin or Birthplace: State, province, district, city, or rural sector of birth or citizenship.

4.3 Prohibited Proxy Variables To prevent algorithmic or manual circumvention of Section 4.2, the use of variables that serve as statistical proxies for protected attributes is strictly prohibited. The ingestion, processing, or evaluation of the following data points within the core underwriting engine or manual review sheets is banned: 1. Postal Code Alone: Standalone postal codes, ZIP codes, or sector codes. *Exception:* Postal codes may be ingested exclusively when paired with property valuation data for verified secured collateral appraisal, subject to prior written clearance from the Head of Compliance, Marcus Vance. 2. Applicant First Name: The applicant's given name or forename, which may encode gender, religious, or regional/caste identity. Only tokenized alphanumeric identifiers generated by the onboarding gateway may be processed by the AUS. 3. Institution of Education: Names of secondary schools, colleges, or universities attended. Education level (e.g., high school diploma, bachelor's degree, doctorate) is permitted, but the specific institutional identity must be scrubbed prior to scoring. 4. Language of Application: The specific human language or regional dialect selected by the applicant to complete the digital application flow.

4.4 Disparate-Impact Testing Requirements 1. Cadence: The Quantitative Risk Analytics team shall execute comprehensive disparate-impact tests on all active credit scoring models, risk tiers, and approval cut-offs on a strict quarterly basis, no later than the 15th calendar day following the close of each financial quarter. 2. Statistical Threshold: Disparate impact shall be measured using the Four-Fifths (80%) Rule across all protected classes enumerated in Section 4.2. If the selection rate for any protected class is less than 80% of the selection rate of the highest-scoring non-protected reference group, the model is in violation. 3. Remediation Protocol: Any model failing the quarterly disparate-impact test must be quarantined within 48 hours of report issuance. Underwriting authority for the affected model reverts immediately to senior human underwriters until the Chief Risk Officer, Elena Rostova, signs off on algorithmic recalibration.

4.5 Voidance of Decision Rationale 1. Rule: Any credit decision rationale, adverse action notice draft, or underwriting log that explicitly or implicitly references a protected attribute (Section 4.2) or a prohibited proxy variable (Section 4.3) is legally and operationally void ab initio. 2. Mandatory Remediation: If a prohibited attribute or proxy is identified within the decision rationale by the Quality Assurance audit team: * The decision is automatically nullified in the core ledger system within 2 hours of detection. * The file must be stripped of the offending data field. * The credit evaluation must be completely re-run through a sanitized algorithmic pipeline or assigned to an independent senior underwriter within 24 business hours. 3. Internal Reporting: A compliance infraction ticket must be logged against the underwriting team lead within 1 business day.

4.6 Adverse-Action Notice Requirements 1. Issuance Deadline: When a credit application is denied, counter-offered on less favorable terms, or terminated due to risk criteria, an Adverse-Action Notice must be dispatched to the applicant via secure electronic mail and physical post no later than 7 calendar days from the date of final decision. 2. Content Mandate: The notice must explicitly state the principal, specific economic reasons for the adverse action (e.g., debt-to-income ratio exceeding the 45% ceiling, derogatory delinquency records within 24 months). Under no circumstances shall an adverse action notice cite a prohibited attribute or proxy variable. 3. Recourse Disclosure: The notice must include clear instructions on how the applicant may obtain a free copy of the credit report utilized in the decision, along with the contact protocol for submitting a formal appeal to the Ashva Capital Consumer Grievance Desk within 30 days of notice receipt.